

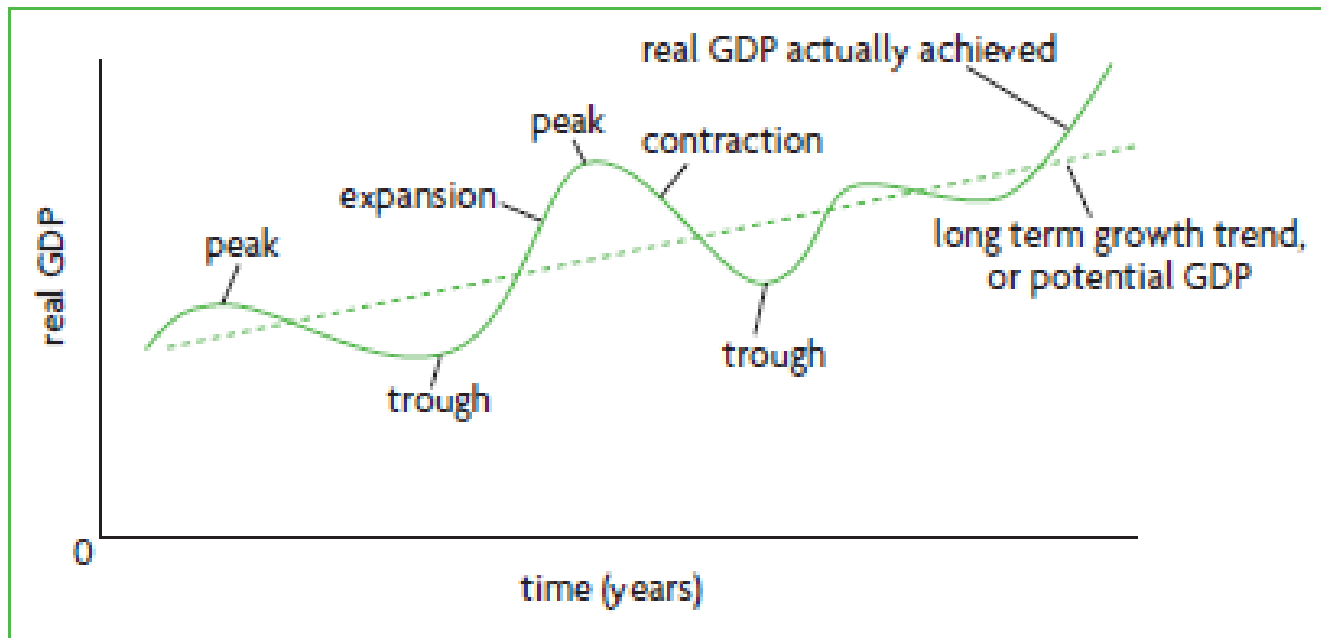
Business Trade Cycle (BTC)

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- Fluctuations in the growth of real output, consisting of alternating periods of expansion (increasing real output) and contraction (decreasing real output), are called business cycles, or economic fluctuations.
- also known as the **economic cycle** or **trade cycle**

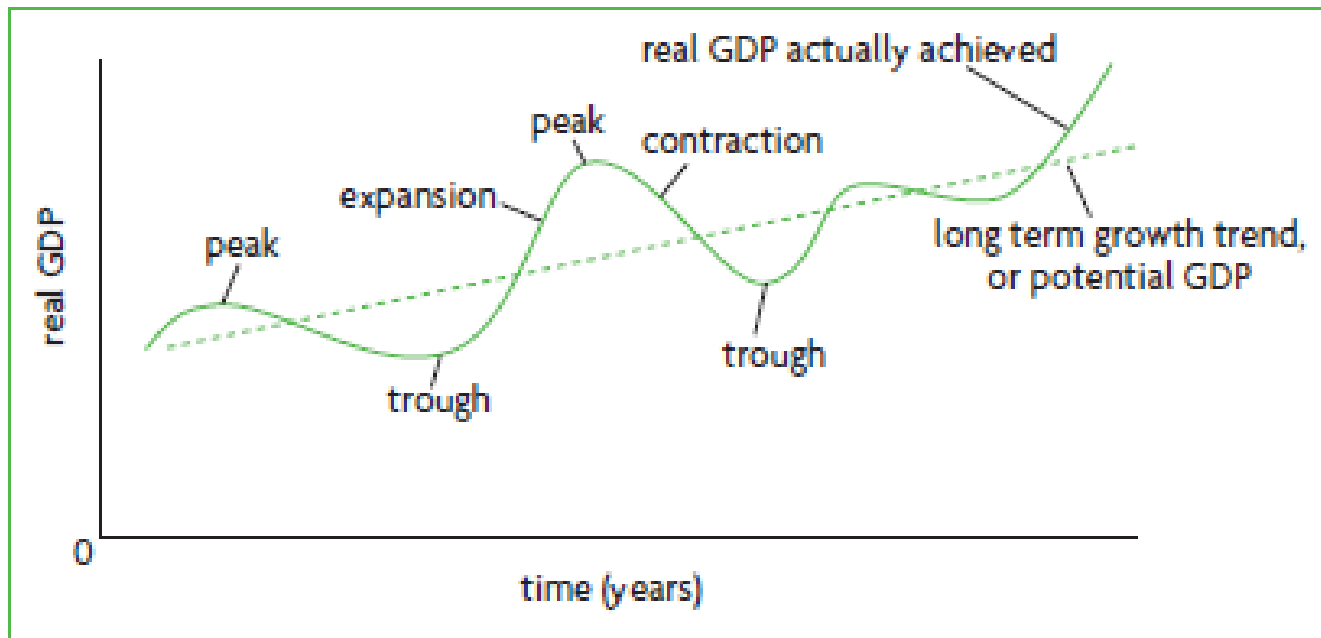
Business Trade Cycle (BTC)

- A business cycle plots **real GDP** on the vertical axis, against time on the horizontal axis.
- GDP here is measured in real terms, so that the vertical axis measures changes in the volume of output produced after the influence of price-level changes has been eliminated.



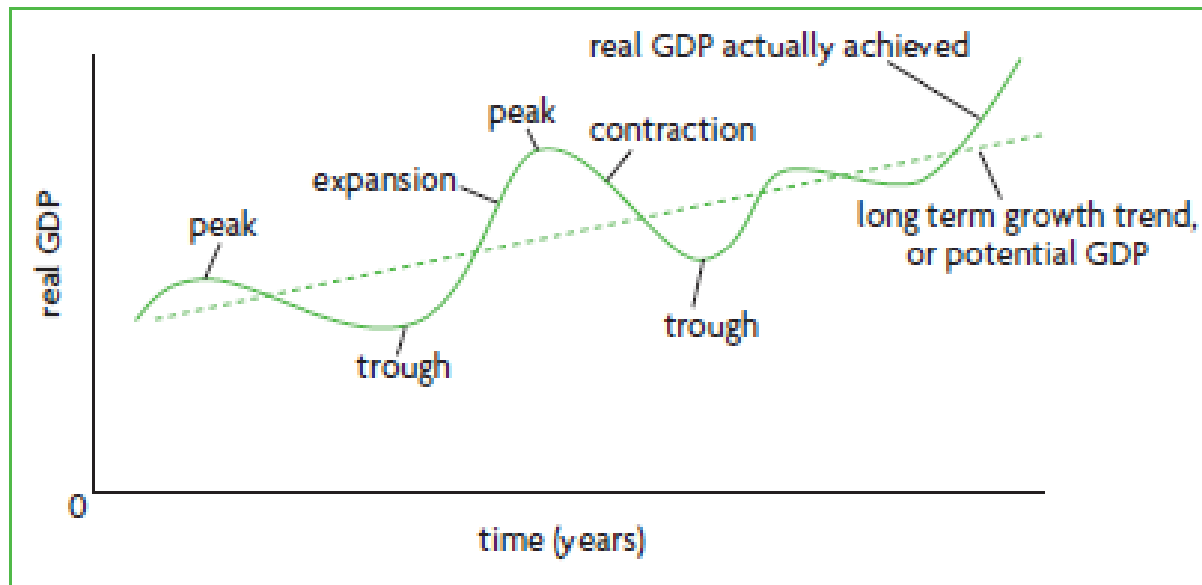
Expansion.

- An expansion occurs when there is positive growth in real GDP, shown by those parts of the curve in Figure 8.4 that slope upward.
- During periods of real GDP growth, employment of resources increases, and the general price level of the economy (which is an average over all prices) usually begins to rise more rapidly (this is known as inflation).



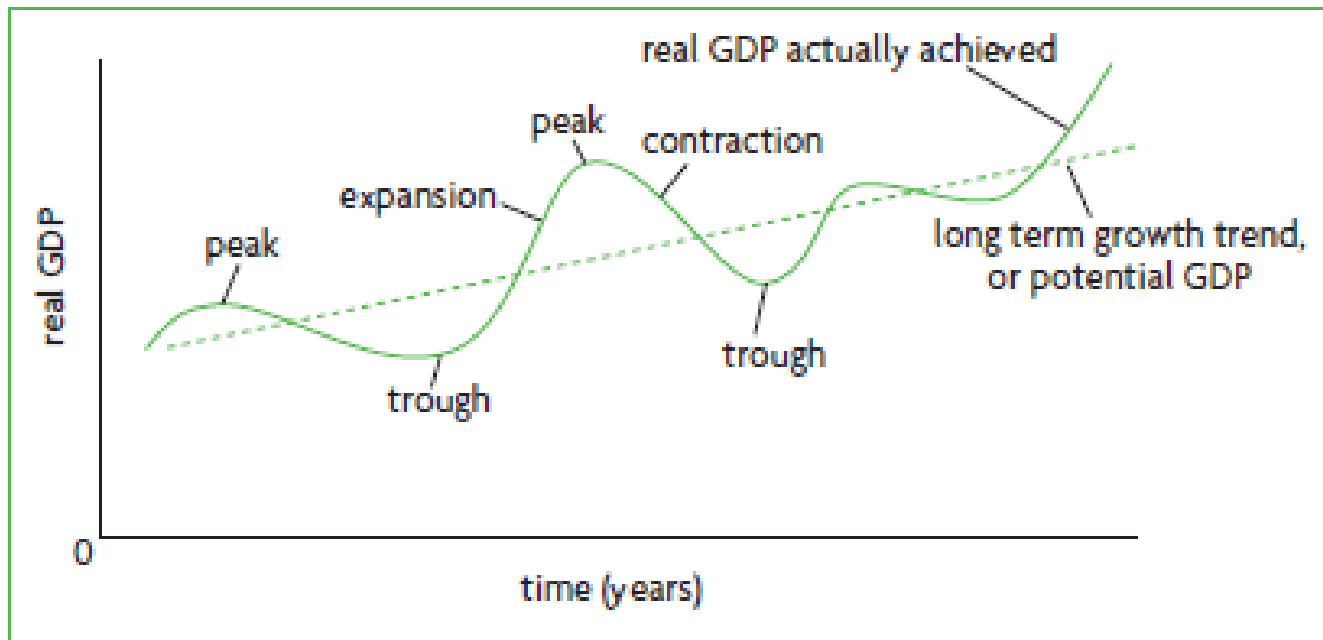
Peak.

- A peak represents the cycle's maximum real GDP, and marks the end of the expansion.
- When the economy reaches a peak, unemployment of resources has fallen substantially, and the general price level may be rising quite rapidly; the economy is likely to be experiencing inflation.



Contraction.

- Following the peak, the economy begins to experience falling real GDP (negative growth), shown by the downward-sloping parts of the curve.
- If the contraction lasts six months (two quarters) or more, it is termed a **recession**, characterised by falling real GDP and growing unemployment of resources.
- Increases in the price level may slow down a lot, and it is even possible that prices in some sectors may begin to fall.



Trough.

- A trough represents the cycle's minimum level of GDP, or the end of the contraction.
- There may now be **widespread unemployment**.
- A trough is followed by a new period of expansion (also known as a recovery), marking the beginning of a new cycle.

Business Trade Cycle (BTC)

- The term 'business cycle' suggests a phenomenon that is regular and predictable, whereas business cycles are in fact both irregular, as they do not occur at regular time intervals, and unpredictable.
- For these reasons, many economists prefer to call them 'short-term economic fluctuations'.

Business Trade Cycle (BTC)

- While each cycle typically lasts several years, it is not possible to generalise, as there is wide variation in duration (how long the cycle lasts), as well as in intensity (how strong the expansion is and how deep the contraction or recession is).
- Expansions usually last longer than contractions. (?)

Business Trade Cycle (BTC)

Why we study the business cycle

- Economic growth over long periods of time, represented by an upward-sloping potential output line, is a highly desirable objective.
- Growth in real output provides opportunities to achieve higher incomes and higher standards of living.
- However, large cyclical fluctuations over short periods of time are not desirable.

Business Trade Cycle (BTC)

Why we study the business cycle

- In the upward phases of the business cycle, the economy often experiences a rapidly rising price level (inflation), which is not good for the economy.
- In the downward phases, the economy experiences falling incomes and growing unemployment, causing hardship for many people and frustrating the objective of economic growth.

Business Trade Cycle (BTC)

Why we study the business cycle

- In an ideal world, every economy would experience economic growth over long periods of time, with continuous low levels of unemployment and a stable or gently rising price level (low inflation).
- Rapid economic growth, full employment, and price stability are among the key macroeconomic objectives of economies.

Business Trade Cycle (BTC)

Using the business cycle, we can understand macroeconomic objectives to include the following:

- Reducing the intensity of expansions and contractions: would lessen the problems of rising price levels in expansions and unemployment in contractions.
- Increasing the steepness of the line by achieving more rapid economic growth over long periods of time.

Indicators

- An indicator is anything that can be used to predict future financial or economic trends.
- For example, the social and economic statistics published by accredited sources, such as the various departments in the government, are indicators.
- Some of the popular indicators they put out include unemployment rates, housing stats, inflationary index, and consumer confidence.
- Official indicators must meet certain set criteria; there are **three categories** of indicators, classified according to the types of predictions they make.

Leading indicators

- **Leading indicators** - These types of indicators signal future events.
- Bond yields are thought to be a good leading indicator of the stock market because bond traders anticipate and speculate trends in the economy (even though they aren't always right).
- New housing starts, money supply, and M2 are considered good leading indicators.

Leading indicators

- Share Prices
- *Building approvals*
- *Levels of stock (Inventory) held by firms*
- *Manufacturers new orders*
- *Business and consumer confidence*
- *Consumer expectations*
- *New employment vacancies*
- *New business start-ups*

Lagging indicators

- **Lagging indicators** - A lagging indicator is one that follows an event.
- The importance of a lagging indicator is its ability to confirm that a pattern is occurring.
- Unemployment is one of the most popular lagging indicators.
- If the unemployment rate is rising, it indicates that the economy has been doing poorly.
- Another example of a lagging indicator is the Consumer Price Index (CPI) which measures changes in the inflation rate.

Lagging indicators

- Interest rates
- *Consumer debt*
- *Unemployment rate*
- *Bankruptcies*
- *Inflation rate*

Coincident indicators

- **Coincident indicators** - These indicators occur at approximately the same time as the conditions they signify.
- Rather than predicting future events, these types of indicators change at the same time as the economy or stock market.
- Personal income is a coincidental indicator for the economy: high personal income rates will coincide with a strong economy.
- The gross domestic product (GDP) of an economy is also a coincident indicator.

Coincident indicators

- GDP
- *Manufacturing output*
- *Sales of consumer durables*
- *Production of building materials*
- *Retail sales*
- *Job advertisements*
- *Motor vehicle sales*
- *Money supply*
- *Capacity Utilisation*

Indicators: Summary

- In summary,
- leading indicators move ahead of the economic cycle,
- coincident indicators move with the economy,
- and lagging indicators trail behind the economic cycle.